

KIMBELL ROYALTY PARTNRS LP KRP

June 10, 2018 - 10:48pm EST

by

Plainview

			2018	2019
Price:	22.30	EPS	0	0
Shares Out. (in M):	27	P/E	0	0
Market Cap (in \$M):	590	P/FCF	0	0
Net Debt (in \$M):	129	EBIT	0	0
TEV (in \$M):	850	TEV/EBIT	0	0

Description

KRP is a diversified mineral and royalty MLP (no IDRs) that went public in February 2017 at \$18.00/unit. At its current price of ~\$22.00/unit, KRP is cheap on a relative and absolute basis. Mineral and royalty interests are entitled to a portion of a well's revenues but are not obligated to fund drilling and completion costs, lease operating expenses or plugging and abandonment costs at the end of a well's productive life. Snarfy and jso1123 posted great write ups on VNOM and BSM, respectively, which are worth reading for additional background on the minerals space and KRP's comps. Snarfy also posted an abbreviated write up of KRP on the VNOM message board. We approached KRP from a different angle than Snarfy and arrived at the same place. KRP is undervalued at its current market price.

KRP recently announced a large acquisition ("Haymaker") that increases their TEV by more than 100%. The purchase price appears very reasonable, and the Sellers (KKR, Kayne Anderson, Haymaker mgmt) took 45% of the consideration in KRP units. The Sellers will own ~37% of the pro forma company. Legacy KRP directors and management will own ~15% of the pro forma entity (~\$90mm).

Reason for Discount

We believe a large part of what is driving KRP's discount is terrible disclosure of where exactly their acreage is. Mgmt discloses net royalty acres by loosely defined basins/areas and provide some rough guidance in the Permian by county. This is not even close to sufficient data to come up with a reasonably precise valuation. However, even if we drastically risk their total acreage figures, the valuation still appears quite attractive. We believe this lack of information creates the opportunity, but it is also definitely a source of risk. We have calculated a risked, probabilistic valuation range. We believe that we have been extremely conservative in our risking, but there remains the possibility that we have not been conservative enough.

Based on PDP PV10 at strip and our probabilistic acreage valuation, we estimate ~40% to 76% upside to KRP's current unit price.

KRP Strategy

KRP's strategy is to buy mineral and royalty interests from the GP (dropdowns) as well as from third parties. In addition, KRP expects organic production growth at >1.5x the overall L48 production growth rate. KRP has 2 years remaining on its ROFO on the Sponsor's retained mineral and royalty assets in the Permian, Bakken, and Marcellus. We attribute no value to the ROFO on the dropdown inventory. Management built KRP's asset base by acquisition over past twenty years, but they are not merely asset aggregators. Importantly, they have shown the willingness to sell assets when the price is right. In May 2018, KRP sold 41 net royalty acres in the Delaware Basin for \$9mm (>\$200k/NRA) and indicated on Q118 CC a willingness to "consider additional sales when we have the opportunity to deliver compelling value to our unitholders" as well as on the Haymaker acquisition CC "we'll consider sales if we believe they are highly accretive on a per unit basis". Also on the Haymaker call, KRP's CFO stated "If we get third-party interest in picking out some assets and we can sell them for massively accretive valuations, we're absolutely going to consider doing that. We're committed to optimizing our portfolio of assets, and frankly, obsessed about driving per unit accretion. So that's, that's consistent with our strategy. We have more assets now that we can consider." This is music to my ears and is indicative of a rational capital allocation philosophy and process.

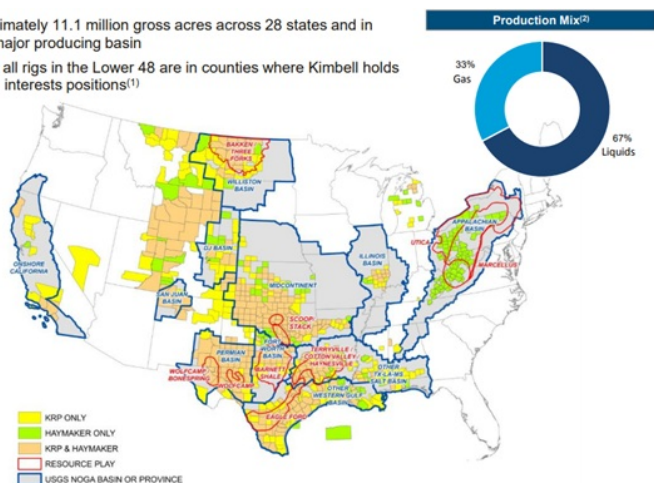
That said, I do not expect large scale asset sales in the future. In fact, maintaining and building scale is important for KRP. One of the benefits of the Haymaker transaction is that KRP's G&A expense per boe (20:1 gas) decreases ~40% vs SQ.

Asset Overview

KRP interests are well diversified across the lower 48. Existing production is very low decline (avg 10%/yr over next 5 years) and very well diversified, although at only 22% oil (6:1), it is gassier than would be ideal from an oil bull's perspective. The Permian is the largest constituent of their current production and accounts for ~28% (20:1). On the Q118 cc mgmt highlighted production growth in the Permian, DJ Basin, and Eagle Ford. There are currently 73 rigs drilling on KRP's acreage (25 on their legacy position and an incremental 51 on the Haymaker acreage). Pro Forma 2017 year/year production growth is 5% (1.6x L48 growth rate).

The map below is what they give you to figure out what they own along with a table that has the NRA's by basin. This is not very helpful but provides enough to start pushing numbers around and see what sort of bet we are making at the current unit price.

- ✓ Approximately 11.1 million gross acres across 28 states and in every major producing basin
- ✓ 95% of all rigs in the Lower 48 are in counties where Kimbell holds mineral interests positions⁽¹⁾



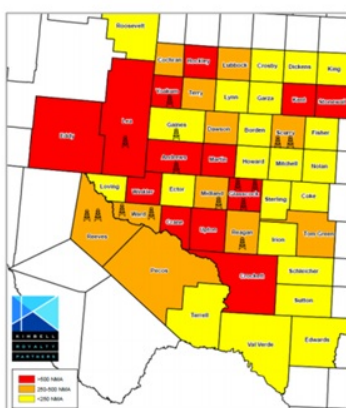
Permian Detail (excludes Haymaker Permian position)

KRP's acreage position blankets the core of the Permian Basin

- Permian position is 1,997,677 gross acres and 18,555 net royalty acres
- As of April 25, 2018, 15 active rigs on KRP's Permian acreage (25 active rigs total)⁽¹⁾



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Acreage Valuation and Implied Unit Price Upside

We estimate 40% to 76% upside to KRP's current unit price based on PDP PV10 at strip and our probabilistic acreage valuation. The tables below lay out KRP's NRAs by major basin. The risking is based on the company provided maps. We have the most data for the Permian as mgmt provides the actual number of acres that are prospective for the Wolfcamp/Bone Springs as well as a heat map showing NRA's by county. The Midcon is the biggest question mark. We have risked it the most because the area is enormous, but there could be upside (or downside). We give no value to KRP's Permian acreage outside of the Wolfcamp/BoneSpring (i.e. CBP) despite the fact that there are rigs currently drilling on it. We also give no value to any acreage outside of the named basins listed on the table. It is worth highlighting that this risking is overly simplistic. There is almost certainly less "core" acreage than what we have laid out. But there is also certainly meaningful acreage that is worth something between 0 and our core acreage valuations. Despite its shortcomings, we believe this framework is the best way to analyze the value embedded in the current KRP unit price and the potential upside.

What we have done in our valuation is show three cases. The first case shows one example of acreage risking that gets you to the current share price. In this scenario, you need to apply our "core" NRA valuation to only ~5% of KRP's NRAs. We also show a Base Case and a High Case with slightly less draconian risking. Both of these case imply meaningful upside. There is no firm catalyst for achieving that upside. Additional disclosure of more precise acreage maps as well as further asset sales highlighting the value of the assets would be very helpful. That may or may not happen in the near future (unitholders should definitely push for additional disclosure). But in the meantime, KRP unitholders own a security that throws off a growing 9%+ distribution yield and that has a good probability of latent meaningful upside to NAV.

Net Royalty Acre Summary			
	KRP SQ	Haymaker	KRP PF
Permian - Wolfcamp/Bone Spring	8,296	770	9,066
Permian - Other	10,218	948	11,166
Midcon	18,380	20,306	38,686
Haynesville	3,126	2,342	5,468
Bakken	3,364	1,810	5,174
Eagle Ford	2,565	962	3,527
Appalachia	-	8,896	8,896
Rockies	199	365	564
Other Net Royalty Acres	25,087	6,360	31,447
Total Net Royalty Acres	71,235	42,799	113,994

Note that we do not know the breakout of Haymaker's Permian position between WC/BS and Other, so we have assumed the same proportion as KRP's legacy position (accounts for ~\$25mm-\$35mm in our NAV).

Core Acreage Summary						
Basin	Acreage Risking			Core Acres		
	Implied	Base Case	High Case	Implied	Base Case	High Case
Permian - Wolfcamp/Bone Spring	18%	25%	30%	1,650	2,266	2,720
Permian - Other	0%	0%	0%	-	-	-
Midcon	5%	8%	10%	1,934	2,901	3,869
Haynesville	10%	15%	20%	547	820	1,094
Bakken	10%	15%	20%	517	776	1,035
Eagle Ford	10%	15%	20%	353	529	705
Appalachia	10%	15%	20%	890	1,334	1,779
Rockies	10%	15%	20%	56	85	113
Other Net Royalty Acres	0%	0%	0%	-	-	-
Core Net Royalty Acres	5.2%	7.6%	9.9%	5,947	8,712	11,314

Estimated Value per Core NRA	
	\$/NRA
Permian - Wolfcamp/Bone Spring	\$ 175,000
Permian - Other	-
Midcon	80,000
Haynesville	50,000
Bakken	50,000
Eagle Ford	45,000
Appalachia	40,000
Rockies	40,000
Other Net Royalty Acres	-

Core Acreage Valuation Summary (\$mm)				
Basin	Acreage Valuation			% of Total
	Implied	Base Case	High Case	
Permian - Wolfcamp/Bone Spring	\$ 289	\$ 397	\$ 476	52%
Permian - Other	-	-	-	0%
Midcon	155	232	309	28%
Haynesville	27	41	55	5%
Bakken	26	39	52	5%
Eagle Ford	16	24	32	3%
Appalachia	36	53	71	6%
Rockies	2	3	5	0%
Other Net Royalty Acres	-	-	-	0%
Value of Core Acreage	\$ 550	\$ 789	\$ 999	100%
Implied Share Price Upside / (Downside)	0%	40%	76%	

Acreage Valuation

We derive our core acreage valuations in the tables below. A few words on methodology. We modeled a MTDR Delaware TC to determine what we can pay in the Delaware Basin and achieve a reasonable pre-tax IRR (>15%) with our well inventory and type curve assumptions and a <=10 year drillout schedule (\$55 WTI and \$2.75 HHUB). Based on that output we determined that you need to target a pre-tax ROI of ~4.0x to hit the IRR threshold. We then modeled representative TC's and well inventories per drilling unit by basin to get revenue per drilling unit by basin and divided by the number of acres per drilling unit to get revenue per net royalty acre by basin and divided by 4 to get the implied value per net royalty acre by basin that will allow a mineral purchaser to achieve a pre-tax 4.0x ROI. Note that a net royalty acre = royalty rate x net acres. So ownership of a "net royalty acre" equates to ownership of 100% of the revenue associated with that "net royalty acre".

\$175,000/NRA - Delaware Basin Return Sensitivities

Pre-Tax ROI					
# of Wells Completed per Drilling Unit					
	4.0	8.0	12.0	16.0	20.0
Pre Tax ROI	1.2x	2.3x	3.5x	4.6x	5.8x

Pre-Tax IRR					
# of Wells Completed per Drilling Unit					
	4.0	8.0	12.0	16.0	20.0
Months from Purchase until Wells Online					
12	2%	20%	41%	62%	83%
24	2%	15%	27%	38%	48%
36	2%	12%	21%	29%	35%
48	1%	10%	17%	23%	28%
60	1%	9%	15%	19%	23%
72	1%	8%	13%	17%	20%
84	1%	7%	12%	15%	18%
96	1%	7%	10%	13%	16%
108	1%	6%	10%	12%	14%
120	1%	6%	9%	11%	13%

Revenue per Well

Delaware Basin Revenue per Well (5k ft lateral)				
	EUR	Price	Prod Tax	Rev (\$mm)
Oil	634	\$ 51.00	\$ (3.83)	\$ 30
Gas	593	2.00	(0.15)	1
NGL	70	20.53	(1.54)	1
Boe	802	\$ 43.55	\$ (3.27)	\$ 32

Haynesville Revenue per Well (10k ft lateral)				
	EUR	Price	Prod Tax	Rev (\$mm)
Oil	-	\$ 51.00	\$ (3.83)	\$ -
Gas	25,000	2.25	(0.17)	52
NGL	-	20.53	(1.54)	-
Boe	4,167	\$ 13.50	\$ (1.01)	\$ 52

STACK Revenue per Well (10k ft lateral)				
	EUR	Price	Prod Tax	Rev (\$mm)
Oil	533	\$ 51.00	\$ (3.83)	\$ 25
Gas	3,386	2.00	(0.15)	6
NGL	291	20.53	(1.54)	6
Boe	1,388	\$ 28.76	\$ (2.16)	\$ 37

Bakken Revenue per Well (10k ft lateral)				
	EUR	Price	Prod Tax	Rev (\$mm)
Oil	750	\$ 51.00	\$ (3.83)	\$ 35
Gas	865	2.00	(0.15)	2
NGL	206	20.53	(1.54)	4
Boe	1,100	\$ 40.18	\$ (3.01)	\$ 41

Eagle Ford Revenue per Well (6.6k ft lateral)				
	EUR	Price	Prod Tax	Rev (\$mm)
Oil	382	\$ 51.00	\$ (3.83)	\$ 18
Gas	420	2.00	(0.15)	1
NGL	50	20.53	(1.54)	1
Boe	502	\$ 42.53	\$ (3.19)	\$ 20

Marcellus Dry Gas Revenue per Well (10k ft lateral)				
	EUR	Price	Prod Tax	Rev (\$mm)
Oil	-	\$ 51.00	\$ (3.83)	\$ -
Gas	25,000	1.75	(0.13)	40
NGL	-	20.53	(1.54)	-
Boe	4,167	\$ 10.50	\$ (0.79)	\$ 40

Implied Value per NRA by Basin based on Revenue per Well and 4.0x PreTax ROI

Basin	Rev/Well	Lateral Length (ft)	Drilling Unit (Acres)	Average Wells per Unit	Revenue per Unit	Required ROI	Value per Unit	Value per NRA
Delaware	\$ 32	5,000	640	14	\$ 452	4.0x	\$ 113	176,726
Haynesville	52	10,000	1,280	5	260	4.0x	65	50,812
STACK	37	10,000	1,280	12	443	4.0x	111	86,558
Bakken	41	10,000	1,280	6	245	4.0x	61	47,921
Eagle Ford	20	6,600	845	8	158	4.0x	39	46,750
Marcellus/Utica	40	10,000	1,280	5	202	4.0x	51	39,520

Relative Value and Private Market Data Points

As a relative value check, VNOM's current PDP adjusted implied value is ~\$270,000/NRA with no risking at all. VNOM's disclosure is excellent and their acreage is pretty much all core so it doesn't deserve any risking; also VNOM's partnership with FANG definitely deserves a premium as it has completion timing influence / alignment with the operator on a meaningful portion of its asset base. That said, \$270k/NRA is a 54% premium to our Permian NRA valuation (which we apply to only 25-30% of KRP's Permian Wolfcamp/Bone Spring acreage).

BSM's disclosure rivals KRP for opacity, but I cannot get to the same type of implied upside for BSM under similar assumptions as I do for KRP. I think BSM is very good value today, but KRP is even better, in my opinion.

There are additional private market data points supporting our acreage valuations. As mentioned previously, KRP just sold 41 NRA's in the Delaware Basin for \$9mm (>\$200k/NRA) to help fund the Haymaker acquisition. That is clearly not representative of all of their Permian acreage, but there is that kind of value in at least some of it. VNOM also regularly announces Permian mineral acquisitions at >\$100k - \$175k/NRA. And VNOM's recent core Eagle Ford acquisition was >\$130k/NRA (this was core of the core with Austin Chalk inventory as well; our Eagle Ford core valuation only assumes \$45k/NRA). Anecdotally, we have heard of mineral transactions in the core Haynesville regularly occurring at north of \$40k/NRA.

Conversion to C-Corp

KRP is in the process of converting from partnership to C-Corp (required votes are secured between the Haymaker Sellers and KRP Sponsors/mgmt). This will dramatically increase expand the KRP investor universe and is widely seen as a positive catalyst. It may or may not also necessitate a switch to standard public company governance (i.e. investor elected board of directors). If so, that would be a further positive as I believe that even the best run MLP's have some degree of LP unit discount rooted in the lack of corporate governance (this point being highlighted by the current BWP saga). After the conversion, management expects to pay no cash taxes for the next five years.

Current Distribution Yield

KRP has a variable distribution policy and targets 1x coverage. Its Q118 annualized dividend yield is ~7.6%. The Haymaker transaction was ~20% accretive on a DCF/unit basis, so pro forma Q118 yield at 1x coverage is ~9%. Yield can be very misleading, so I tend to focus on NAV. But at 9%, it becomes a meaningful portion of the total annual return proposition. And investors often focus on it as its easy to run comps. VNOM's Q118 yield is ~7% but has higher growth than KRP. BSM Q118 yield is ~6.7% but has higher coverage than KRP.

KRP Balance Sheet and Trading Stats

At ~2x debt/EBITDA, KRP is not unlevered, but still well within their means. Management targets a long term leverage ratio <1.5x. KRP's organic production growth has been trending >1.5x Lower 48 production growth rate. This organic production growth will lead to some natural de-levering over time. Mgmt expects to complete the first dropdown transaction later this year, which will be another potential method of de-levering if the Sponsors take units as consideration. We would prefer that they under-distribute and retain cash flow over the next several quarters rather than issue more units, but we would not be surprised either way.

KRP - Q118	Status Quo ¹	Haymaker Adj	Pro Forma
Unit Price ⁰	\$ 22.00	\$ 22.00	\$ 22.00
Total Units Outstanding	16.8	10.0	26.8
Market Cap	\$ 370	\$ 220	\$ 590
Preferred Equity Liquidation Value	-	110	110
Lesser of 1.20x Pref LV and ITM Pref Conversion Value	-	21	21
Net Debt	15	114	129
TEV	\$ 385	\$ 465	\$ 850

Q118 DCF / Unit	\$ 0.42	\$ 0.08	\$ 0.50
Q118 Annualized DCF Yield	7.6%		9.2%

Production (boe/d)	3.7	5.4	9.1
% Oil	33%	15%	22%
Estimated PDP PV10 at Strip	\$ 133	\$ 164	\$ 297
Implied \$/boe/d	\$ 36,541	\$ 30,020	\$ 32,636
TEV ex PDP Value (Acreage Value)	\$ 252	\$ 301	\$ 553
	\$ / Core NRA ³		\$ 63,497

Active Rigs on Acreage ²	25	51	73
Net Debt/Q118 Annualized EBITDA	0.5x		1.9x
Net Debt+Preferred/Q118 Annualized EBITDA	0.5x		3.5x

⁰Using current unit price for acquisition adjustment, but prior to announcement unit price = \$19.40

¹Status Quo is pro forma for May 2018 sale of 41 net royalty acres in the Delaware Basin for \$9mm

²3 rigs overlap

³Base Case risking

I do not hold a position with the issuer such as employment, directorship, or consultancy.

I and/or others I advise hold a material investment in the issuer's securities.

Catalyst

Additional acreage location disclosure

Additional high value acreage asset sales

Conversion to C-Corp

Messages

Subject Have you been able to get them on the phone?
Entry 06/11/2018 09:21 AM
Member snarfy

I have had a harder time starting a dialogue with these guys than pretty much every company in the space short of the mega caps. Ironic, given the depressed valuation and the market cap that until recently was only \$300 million. I suspect that may account for some of the mispricing, in addition to the disclosure and liquidity issues.

Subject Re: Have you been able to get them on the phone?
Entry 06/11/2018 02:21 PM
Member Plainview

I have not been able to get them on the phone. Their IR effort level seems extremely low, and I agree that is probably hurting the stock price. Please let me know if you get a dialogue started. Would be really great to hear their thoughts on additional disclosure.

Also, thanks for pointing out liquidity. It is not an issue for me yet, but \$600k/day is insufficient for many.

Subject 1Q Earnings
Entry 06/12/2018 09:24 AM
Member abcd1234

I see the stock is up ~30% in the past month on what I assume was very good 1Q earnings. This is a big move in a short period of time. In your opinion, were the results THAT good or was it just an extremely mispriced stock at \$17?

Subject Re: 1Q Earnings
Entry 06/12/2018 10:31 AM
Member Plainview

In my opinion, it was a confluence of factors. The stock was definitely very mispriced at \$17, with such extreme mispricing made possible by the miserable asset location disclosure. About half of the increase in stock price from \$17 occurred after Q1 earnings were announced and half occurred on announcement of the Haymaker acquisition and the planned conversion to C-Corp.

Part of the earnings move was driven by Q1 results being very good and exceeding expectations. I think that part of the earnings move was also due to the disclosure of a \$9mm Delaware basin asset sale at an extremely attractive valuation. Although a small absolute \$ figure, the value per NRA highlighted that there are pockets of exceptional value in the portfolio. You just don't need many NRA's worth close to \$200k to get excited about the value here.

The Haymaker acquisition is expected to be >20% accretive to KRP's current cash yield. Such large, immediate cash yield accretion is very easy to understand and probably drove some of the outperformance. The company also announced the planned conversion to C-Corp at the same time as the Haymaker announcement. The C-Corp conversion also likely drove a portion of the outperformance as it is viewed as opening up the KRP investor universe to yield starved institutions that cannot buy MLPs (VNOM's stock price was up 10% the day they announced their planned C-Corp conversion).

Subject Subtracting PDP PV10 from the EV
Entry 06/15/2018 07:25 PM
Member abcd1234

Thanks for flagging this very interesting company. This is the first time I've spent any time on an oil & gas royalty company, so thank you in advance for the help.

Why did you subtract the PDP PV10 from the EV to back into the EV/NRA? I could understand this if most of the resource base were PUDs, but considering 75% of the reserves are PDPs, isn't it the producing wells that give the acreage its value?

How do you think about this company (and other oil & gas royalty companies) with respect to EV / PV10 at strip prices? Considering the fact that royalty companies don't bear any costs which is where management can have so much impact, I would think PV10 would be a much more accurate valuation metric with royalty companies than it is with regular E&Ps.

Subject Re: Subtracting PDP PV10 from the EV
Entry 06/16/2018 09:27 PM
Member Plainview

I think of upstream oil and gas companies (both E&P's and mineral co's) as having two components of value: PDP value and inventory value. PDP value is the easiest component to put a number on. You can debate the price deck and discount rate, but I am willing to make a bet on the current strip at a 10% discount rate (and if you want to, you can hedge the first few years of PDP value using futures pretty easily).

Backing out the PDP PV10 at strip pricing from the TEV tells you what you have to pay for the inventory. One way to normalize that inventory value is to divide it by net acres to get an implied \$ per acre inventory value. This is imperfect for many reasons. Some acreage is not prospective. Some acreage has already been developed and has no well inventory remaining. And the acreage that is prospective and has remaining well inventory is highly variable. KRP does not provide enough information to evaluate their inventory value with any precision. I agree that the vast majority of their acreage has no inventory value. But some portion of their acreage has meaningful inventory value (e.g. the Delaware acreage they sold in May). The key question in evaluating KRP is what their inventory is worth (i.e. how many acres have inventory value and what that inventory is worth per acre). KRP's inventory value is what I tried to put some bookends around in my NAV estimates. The EV/riskd NRA figure that I think you are looking at is just a trading stat that I threw in because it is a quick and dirty way to think about their implied inventory value (note that it is based on riskd NRA's). For all the reasons listed above, I would put much more weight on the calculated estimated NAVs.

EV/PV10 at strip is a very useful metric, but it can be misleading when it comes to E&Ps and mineral co's with significant inventory value. The SEC only allows wells that are expected to be completed within 5 years to be classified as PUDs and included in the Proved PV10. Some E&Ps have way more than 5 years of de-risked economic drilling inventory that they cannot include in their Proved PV10 figure. Also, some E&Ps choose to be more conservative than others in how many wells they pack into their 5 year SEC development plan which also impacts comparisons. It is even tougher for mineral companies because they have no control over how quickly their inventory gets developed. Therefore, they have to be extra conservative in estimating how many wells they include in their 5 year development plan (the SEC will come back around and make sure that you have not been overstating your 5 year development plan). For those reasons, I think the Proved PV10 figure is an extremely useful metric to track (especially if a stock price is not giving any credit for inventory value), but I prefer taking PDP PV10 and then baking in my own estimate of inventory value to get an estimated NAV.

Subject Re: Subtracting PDP PV10 from the EV
Entry 06/18/2018 08:47 AM
Member snarfy

EV/PV10 is usually irrelevant for minerals companies because their operators are no obligation to share reserve information with them. Whatever KRP reports is almost by definition incomplete information. In terms of judging whether there is enough terminal value to support the stock price in the long run you have to look at the quantity of acreage they hold in different locations on the map and match that up with what is knowable about the cost competitiveness of wells in those areas and the depth of the resource base.

Subject C-Corp Conversion
Entry 09/10/2018 02:39 PM
Member abcd1234

I just want to make sure I am not missing something here - they will announce when they have "officially" converted to a C-Corp right? I see the volume over the past 3 days has spiked but I've yet to see an official conversion.

Also, thank you to you both for the responses to my EV/PV10 question.

Subject Re: C-Corp Conversion
Entry 09/10/2018 03:19 PM
Member snarfy

Yes. I don't see any news yet.

Subject Re: Re: C-Corp Conversion
Entry 09/10/2018 03:47 PM
Member snarfy

IR told me they have not put out any news today and he does not know why the stock is up.

Subject Re: Re: Re: C-Corp Conversion
Entry 09/10/2018 05:38 PM
Member Plainview

Thanks for checking with IR, snarfy. I have not heard anything either.

Subject Remora Royalties
Entry 09/10/2018 06:57 PM
Member snarfy

Has anybody met with them on the IPO roadshow?

Subject Re: Remora Royalties
Entry 09/10/2018 10:06 PM
Member helopilot

Snarfy - I will be meeting with them Wednesday. Happy to report back. Let me know if you want me to ask them anything particular and will be sure to work it in.

Subject	Re: Re: Remora Royalties
Entry	09/11/2018 12:26 PM
Member	snarfy

That's very nice of you. I would love some color on any of the following topics:

- How much stock the CEO/CFO personally own. The S-1 doesn't spell out their holdings at the individual level
- What will their incentive comp metrics be?
- Their views on the sustainable production growth rate of the business

I realize you'll have limited time and have your own questions to cover so any feedback would be great.

Subject	Re: Re: Remora Royalties
Entry	09/18/2018 02:35 PM
Member	snarfy

Did you end up having that meeting last week?

Subject	Conversion timing
Entry	09/18/2018 02:49 PM
Member	snarfy

Looks like it's set for this Thursday, January 20, and the stock is crazy cheap at 10.4x pro forma DCF/unit yet it trades like death. Any idea why? Sometimes I wonder if the market is trying to tell me something in these situations but then again with this being a small cap energy name the trading action may just as well be an indication of apartment cap rates in Boise.

Subject	Re: Conversion timing
Entry	09/18/2018 06:14 PM
Member	Plainview

Thanks for the conversion timing. Is that from IR?

I do not have a great answer to why the stock trades so terribly. Q218 production was flat sequentially from Q118. My guess is that we need to see organic production growth resume to get the stock price working again.

Subject	Re: Re: Re: Remora Royalties
Entry	09/18/2018 08:39 PM
Member	helopilot

Snarfy,

Yes, apologies for delay in responding. I don't like Remora at all and I think this deal goes poorly (maybe even gets pulled). I think the deal is fundamentally mispriced for two reasons: 1) overriding royalty should not be valued in same zip code as a mineral interest; and 2) company lacks inventory to offset natural decline rate beyond 3 years. I hear the book is less than half subscribed and likely prices at the low end or below the range. I think they might try to jam this into retail, and if they do, it will end badly.

To answer your questions:

1) Management will own nothing of the publically traded up-C structure out of the gates. They will own the MLP entity that has the royalty interest and they will own the E&P. The reason they won't own the up-C directly is because if they convert, there will be tax leakage. But it was explained to me, that if they want to sell, they can convert to the up-C security and monetize. Also future equity grants will be in the up-C structure.

2) Incentive comp metrics not set, but they expect it to be driven by growth in DCF / per share

3) 5yr PDP decline rate of 10% average annual. They have inventory of wells they can recomplete over the next 3 years that will cost them about \$12mm. This will offset natural decline rate and allow for modest growth. There is also about \$24mm of droppable EBITDA which would double existing EBITDA at up-C. However, beyond this, the E&P affiliate needs to do more deals to feed the royalty beast. As a result, this has to trade at a big discount to the likes of BSM, KRP, FLMN for me to be remotely interested. And given its size, its hard for me to get excited.

Subject	Re: Re: Re: Remora Royalties
Entry	09/19/2018 05:26 PM
Member	snarfy

That's great. Thanks for sharing. How are you thinking about valuation? Seems like maybe a 12% yield would be the upper bound because that's where PRT trades and ORRIs are higher quality than the net profits interest model that PRT has, so call it \$18.75/sh on the \$2.25/sh NTM distribution guidance. Take a 7% IPO discount from there and you're at \$17.50. Seems like one of the central problems is this just isn't a big enough asset base to force investors to reckon with it. Nor is the quality a standout feature either. This has orphan potential written all over it. I have a minerals fetish so I favorably predisposed towards it but bringing it public feels like more of a push from the sponsor rather demand pull from investors.

Subject
Entry
Member

Re: Re: Conversion timing
09/19/2018 06:30 PM
snarfy

I read it in the S-3/A filed September 12.

I have to admit I am pretty pissed off right now. They said on the Q2 call on August 9 that they were targeting late August/early September for the conversion to be effective and then the date was specified as September 20. They said they would put out a press release but instead what we get today after the close is an 8-K with an adjusted balance sheet with a ~\$20mm swing in the pro forma cash balance at June 30 (granted, it was a favorable adjustment). It appears the reason for the adjustment is they failed to allocate the >\$20mm deposit they had made on the Haymaker properties toward the purchase price. I mean come on. I don't know whose fault that is but it's amateurish and it smells like a CFO issue, and I'm just going to say I think that guy barks way too much. Hopefully this serves as an ego check which he seems to need.

Subject
Entry
Member

Re: Re: Re: Conversion timing
09/20/2018 09:33 AM
abcd1234

Thanks Snarfy. The S-3/A says the conversion will be effective "on or after September 20." So I guess we need to wait until an official press release before we can assume it is now taxable?

Subject
Entry
Member

Re: Re: Re: Re: Conversion timing
09/20/2018 09:53 AM
snarfy

Yes I would assume so.

Subject
Entry
Member

Re: Re: Re: Conversion timing
09/20/2018 10:17 AM
Plainview

I am confused wrt your issue with the \$20mm adjustment. Seems to me like they paid the \$20mm deposit in Q218, created an asset on the balance sheet to reflect the deposit payment, and then in the pro forma adjustments they credited the \$20mm desposit they already paid against the cash consideration and zeroed out the deposit asset. What am I missing?

Subject
Entry
Member

A few questions
09/20/2018 02:16 PM
HoneyBadger

Hi Plainview,

Thank you for posting the idea.

A few questions:

- 1) With management not being a super majority owner how do you anticipate them maintaining control post a c-corp conversion?
- 2) It seems to be a reasonable overhang on the stock at this level; do you anticipate the haymaker sellers holding on to their shares or anticipate it being an overhang?
- 3) I appreciate there are no IDRs but do you anticipate the GP being paid shares or cash in order for giving up their GP/LP control structure?
- 4) How do you think about this entity relative to the newly created OSPR?
- 5) Do you anticipate the next dividend to get closer to the 9% type yield you anticipated on a 1x payout?

Appreciate it.

Subject
Entry
Member

Re: A few questions
09/20/2018 07:10 PM
Plainview

Thanks for the questions HoneyBadger.

1. KRP is technically still a partnership. They have simply "checked the box" to be taxed as a c-corp. Management will continue to control the KRP general partner.
2. There is definitely some sort of lock up period, but at some point Haymaker mgmt, Kayne, and KKR will be sellers. It is an overhang and will probably continue to affect the stock price to some extent. That said, Kayne et al are as incentivized as anyone to get the stock price up, and they have a real seat at the table. Hopefully they will agitate for additional disclosure on KRP's Permian and Midcon positions, which should provide a foundation for stock price appreciation.
3. See 1
4. I have not done as much work on OSPR, but from what I know I would say that OSPR is more comparable to VNOM (w/o the E&P sponsor) than KRP. OSPR has a very concentrated position in core Eagle Ford and trades at a very high value per net royalty acre (arguably justifiably so due to the quality). KRP has a far more diverse asset base with a lot of legacy acreage with no value beyond PDP value combined with a decent chunk of good acreage in very active areas. I would consider BSM more similar to KRP in that regard.
5. Yes, I have Q318 run rate DCF yield at ~9.4%. Although the effective date of the transaction was 4/1/18, the transaction did not close until July. All of the Q218 cash flows will hit KRP's books in Q318 so it will be a noisy quarter, but adjusting for the noise I think they will be around 9.4%.

let me know if I missed anything.

Subject Re: Re: Re: Re: Re: Remora Royalties
Entry 09/20/2018 11:04 PM
Member helopilot

I am a little lower on valuation. BSM is around 10.5% DCF yield, so I would argue 1pt penalty for ORRI and 1pt penalty for sub scale size. $\$2.25 / 12.5\% = \18 . Then 10% IPO discount gets me to \$16.20.

Subject Re: Re: Re: Re: Re: Re: Remora Royalties
Entry 09/21/2018 09:10 AM
Member snarfy

Thanks for the dialogue. Looks like it got pulled after all!

Subject Re: Re: Re: Re: Conversion timing
Entry 09/21/2018 09:31 AM
Member snarfy

The original pro forma financials they filed had failed to allocate the deposit towards the purchase price. Let's be honest the main reason to own this is because of the conversion catalyst and it *appears* to have been postponed even further as a result of having to correct the financial statements.

I admit I am probably overreacting but I just find the whole valuation dynamic surrounding these minerals MLPs to be very frustrating, and I am very frustrated with executives in this space like the CFO at KRP who do not seem to be able to figure out what things will help valuations re-rate to the levels they deserve to be at, and which things will not.

First of all, on the Q1 call he's bitching about how the stock is trading below the IPO price. Oh yeah? Well what is he going to do about it? Here's a thought: I am an enthusiastic supporter of the minerals space and a page 1 shareholder so how about he actually take a call from me? He's a 32 year old CFO of a \$300mm minerals MLP that, like, only seven public investors actually care about, and I have a harder time getting him on the phone than almost any company I have encountered.

Then on the Q2 call after a modest re-rating due to the Haymaker deal he declares they are very proud of the 30% total return they have delivered since the IPO. That is garbage. Wake me up when the stock is at \$30.

Second, he needs to stop popping off about how they sold that small minerals package in the Delaware for "frothy" and "outrageous" multiples. Who will want to buy from them if they turn around and declare publicly that the buyer paid a stupid price? It's beyond stupid.

Third, the conversion isn't even complete yet and he starts barking about doing a drop down. News flash: probably the fastest way to make energy investors vomit these days is to casually tell them you want to do a drop down and not provide them with any concrete details about the assets.

Subject Re: Re: Re: Re: Re: Conversion timing
Entry 09/21/2018 05:10 PM
Member Plainview

Ah, I see the discrepancy. Thank you for pointing that out.

You make great points, and I share your frustration. The CFO is in over his head, but there are adults in the room now with meaningful \$ on the table. Hopefully, KKR/Kayne will be able to help fix these pretty basic issues and help get their IR effort/strategy straight.

Subject Re: Re: Re: Re: Re: Conversion timing

Entry
Member

09/24/2018 09:26 AM
abcd1234

Conversion has gone effective as of today.

<http://kimbellrp.investorroom.com/2018-09-24-Kimbell-Royalty-Partners-Announces-Effectiveness-of-Tax-Status-Change-from-Pass-Through-Partnership-to-a-Taxable-Entity>

Subject FLMN
Entry 09/24/2018 01:15 PM
Member bdad

Anybody familiar with FLMN? Unless I'm looking at this wrong, warrants seem like they're trading ~12 implied vol v BSM and VNOM (which seem to be among the better comps with listed options) in the 20-30 range. Any reason the warrants aren't cheap here (at least relative to the stock?)

Subject Re: FLMN
Entry 09/24/2018 01:52 PM
Member snarfy

Perhaps because of the dilution from the 10mm earnout shares that will go to Blackstone if the stock gets above \$12.50 and because the higher dividend yield relative to VNOM and BSM will drain cash from the company faster if the stock price does not go up?

Subject Re: Re: Re: Re: Re: Re: Re: Conversion timing
Entry 09/24/2018 02:11 PM
Member snarfy

Well I give up. The conversion has taken place and oil is ripping yet the stock isdown. I'm getting to a distribution of \$0.68/sh in Q3'18 for a yield of 12.3%, using the strip at \$70 WTI, \$3 HH, \$(7)/bbl and \$(0.75)/mcf differentials.

Subject Common Unit Offering
Entry 09/26/2018 06:06 PM
Member Plainview

KRP announces a 3mm common unit offering to pay down debt. Very disappointing that they are choosing to delever in this manner.

Far more troubling is that according to the prospectus pro forma **Q218** production was **8,350boe/d (6:1) / 4,612boe/d (20:1)**. In the Haymaker acquisition presentation on page 5 they said that **Q118** pro forma production was **9,100boe/d (6:1)** and on page 12 they said it was **4,381 at (25:1)**. So on a 6:1 basis production is down over 8% from Q118 to Q218. We know that legacy KRP production was flat from Q118 to Q218 so that would imply 13% decline in Haymaker volume on a 6:1 basis. Mgmt's outlook was for Haymaker production to grow.

I would have to make a lot of assumptions to make a comparison between the total 20:1 and 25:1 numbers so I won't, but it is worth highlighting that MidContinent combined Q118 production at 25:1 was 694boe/d per the Haymaker presentation. In Q218 it was 665boe/d at 20:1. Therefore MidContinent production is certain to have declined. This was an area that was supposed to grow.

I have a call in to IR. I hope I am missing something here.

Subject Re: Common Unit Offering
Entry 09/26/2018 10:23 PM
Member snarfy

I don't get it. There is almost no way the acquired production could have declined 13% q/q in a single quarter given that their pro forma PDP decline rate is supposed to be ~10%. Still, combined adjusted EBITDA and DCF is short of where it should have been. I have reached out to IR. Please let me know if you hear back, and I will do the same.

Subject Re: Re: Common Unit Offering
Entry 09/26/2018 11:26 PM
Member snarfy

Also, it appears Haymaker's adjusted EBITDA grew from \$7.4mm in Q1'18 to \$9.3mm in Q2'18, which would be inconsistent with production falling 13% from the time of the deal announcement. Bizarre.

Subject Re: Re: Re: Common Unit Offering
Entry 09/27/2018 06:50 PM
Member abcd1234

The Haymaker numbers certainly are confusing. Snarfy, where do you see \$7.4mm of EBITDA for Haymaker in 1Q? The presentation states that the \$404mm acquisition was a 9.9x multiple of 1Q18 annualized cash flow. This would imply just north of \$10mm of cash flow in 1Q. Even assuming EBITDA = cash flow, it doesn't match with the fact that it also stated \$10.3mm of revenues in 1Q. Unless I guess if KRP views Haymaker's revenue as cash flow (with the assumption that they are not acquiring any costs)?

Plainview, I believe the biggest discrepancy is with the 9.1 mboepd they stated in the presentation. With some triangulation, I believe it was actually about 8.65 (6:1). Specifically, I think Haymaker produced about 109 mboe of oil and NGLs and 2,046 mmcf of NG. That said, the Haymaker declines are disturbing. I believe gas production was sequentially down by about 7% and oil/NGL down about 2%.

The most notable declines appear to be in the MidCon and Rockies (there are no rigs in the Rockies so I would expect that to decline but I'm surprised by the rate).

Were either of you able to get in touch with the company? I was travelling yesterday and today but I will try reaching out tomorrow as well and will post if I receive any color.

Subject Re: Re: Re: Re: Common Unit Offering
Entry 09/28/2018 09:00 AM
Member snarfy

A sell-side analyst I was put in touch with thanks to a friend spoke with the company. They said the discrepancy between the production figure of 9,100 boe/d shown in the deal presentation and the 8,350 boe/d shown in the prospectus was due to how Haymaker accounts for NGLs, and they were emphatic the two figures were not comparable and the difference had zero impact on cash flow. I presume that means Haymaker reports on a two stream basis with NGLs embedded in the gas stream, whereas KRP reports on a three stream basis with the NGLs broken out separately. Not sure why they can't just explain that but whatever. It is consistent with the adjusted EBITDA figures they reported, which rose q/q.

Subject Re: Re: Re: Re: Re: Common Unit Offering
Entry 09/28/2018 04:25 PM
Member abcd1234

That is also corroborated by the fact that on page S-4 of the prospectus it said that Haymaker was producing 2,260 boe/d (20:1) as of 8/1/2018. Backing out the KRP production (counting 1 bbl of NGL as 1 bbl of boe) from the combined 4,612 boe/d during 2Q gets Haymaker average production of 2,240. This can at least confirm that Haymaker production has not declined from the 2Q average to the 8/1 exit.

I still remain puzzled by this decision to issue 10+% yielding stock to repay ~4% debt (especially ~1 month before a div payment)? It's clearly value destructive, and even worse, indicates that management/KKR/Kayne might think \$19 is an attractive price to sell? The only rationale I can make is that they engaged 10 underwriters for a \$57mm equity offering (I don't track that type of thing but I don't think I've ever seen so many for such a small deal). Maybe they wanted to issue some cheap stock to get some new happy investors and get sell side coverage from 10 banks? I've always liked the prospect of rolling up private royalty interests so they will continue to need to tap the capital markets. That strategy only works, however, if you have fairly priced stock and its hard to get your share price to a "fair" value with offerings like this.

Subject Re: Re: Re: Re: Re: Re: Common Unit Offering
Entry 09/28/2018 07:10 PM
Member Plainview

Has anyone else talked directly to IR or mgmt? Either their IR guy is clueless or Haymaker is having serious production issues or KRP's financial reporting is completely unreliable. I finally talked to somebody in IR who swore that the 9,100boe/d PF Q118 presentation figure is apples to apples with the 8,350boe/d PF Q218 prospectus figure. He said that he had gotten the same question from other investors and had asked mgmt and mgmt told him that both the Q118 figure from the presentation and the Q218 figure in the prospectus are using the same definition of boe. The IR guy said that mgmt told him the Q218 figure in the prospectus is "conservative". I asked him what "conservative" means and how the Q218 figure could be any more "conservative" than the Q118 figure and he said that is all he can say but that the mgmt team is very optimistic and confident in the Haymaker assets. I am losing confidence in both the assets and the mgmt team.

snarfy - did the sell side analyst say he talked to IR or mgmt? I am hoping that this is simply a case of the outsourced IR guy not know what he is talking about. By my numbers Haymaker EBITDA was \$9.6mm in Q118 and \$9.3mm in Q218. WTI was up 8% from Q118 to Q218 and HHUB was down 9%. I do not see how if Haymaker's production actually declined 13% q/q their EBITDA would only decline by 3% at those commodity prices.

abcd1234 - how are you calculating the 8.65kboe/d figure that you reference?

Subject Re: Re: Re: Re: Re: Re: Re: Common Unit Offering
Entry 09/29/2018 12:17 AM
Member snarfy

Sounds like you talked to IR right after I did. I've spoken with him a bunch of times. I would charitably say he doesn't bring a lot to the table. I don't know exactly who the sell-side analyst spoke with at the company but it couldn't have been IR because IR wasn't aware of the two stream vs. three stream explanation for the production discrepancy. I haven't lost any confidence in the assets but management plainly doesn't appreciate the relationship between how they communicate with investors and the multiple their stock gets. Whether this secondary was dumb remains to be seen. Something I have heard from a couple people is management felt like one benefit of the secondary is the increased liquidity from the secondary would allow more investors into the stock, kind of like what we saw with VNOM, and wanted to rip the band aid off. I think there is some logic to that but they should have been more direct about saying it. I asked IR to get me a call with them next week.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Common Unit Offering
Entry 10/01/2018 03:12 PM
Member snarfy

I have a call with the COO tomorrow morning. Let me know what questions you might have and I will try to work them in.

I will report back of course.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Common Unit Offering
Entry 10/01/2018 05:49 PM
Member Plainview

Thanks snarfy. I am sure some of these are already on your list.

1. Is the PF Q218 production of 8,350boe/d in the prospectus comparable to the 9,100boe/d PF Q118 production in the Haymaker presentation? If it is comparable, why did Haymaker production decline? If it is not comparable, please provide the comparable figure.
2. Are there any plans to provide additional disclosure regarding KRP's assets in active operating areas (i.e. more detailed maps) like VNOM and BSM provide? If not, then why not?
3. How does the company plan to improve its investor relations strategy / messaging going forward? Do they recognize there is a problem here?
4. Does the company plan to provide additional detail on the dropdown assets at the parent level? (location, cash flow, NRA's, valuation philosophy, etc.)
5. Is the company confident in its financial reporting processes (missed acquisition deposit; change in definition of boe in prospectus vs presentation)?
6. Have Kayne/KKR indicated their plans after the 6 month lock up period is up?
7. What was the thought process behind using the common unit offering to delever vs asset sales vs dropdowns?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Common Unit Offering
Entry 10/01/2018 07:59 PM
Member snarfy

Got it, thank you

Subject Re: Re: Re: Re: Re: Re: Re: Re: Common Unit Offering
Entry 10/02/2018 04:54 PM
Member abcd1234

Sorry for the delay in getting back to you Plainview in how I'm getting to the 8.65k boe/d (6:1) for Haymaker for Q1. The prospectus gave 2Q combined daily production on a 6:1 and 20:1 basis. I used that to calculate liquids vs gas production. I could then back out KRP production to get to Haymaker only (in bbls and mcf, not boe) for 2Q. The Haymaker acquisition presentation also provided combined 1Q daily production by basin on a 25:1 basis. Having bbls and mcf broken out for each of KRP and Haymaker for 2Q as well as having KRP only for 1Q allowed me to be more accurate in using the 25:1 1Q numbers to estimate Haymaker only. The presentation also said Haymaker generated \$10.3mm in revenues in 1Q, 46% from liquids and 54% from gas. So I could use this get a general idea of what the gas production was while using an assumption of realized gas prices for Haymaker which matched closely with my other calculation.

Good questions and I look forward to hearing back from Snarfy, especially on your number 7 which is my main question.

Subject New Presentation
Entry 10/03/2018 10:22 AM
Member Plainview

Posted last night on KRP's website. Provides the 3 stream split for the 8,350boe/d (6:1). Using that three stream split we can get a 25:1 number (4,292boe/d) to compare to the 25:1 number in the Haymaker presentation (4,381boe/d) which implies a 2% seq decline in PF production. This is much better the 8% seq decline implied using the old 6:1 figures provided but it is definitely negative to see production declining. It is also not comforting to see mgmt including incorrect numbers in their investor materials as I can only conclude that the 9,100boe/d PF Q118 figure in the Haymaker presentation was incorrect and the actual 6:1 number is closer to what abcd1234 calculated (I am getting ~8,500boe/d).

One quarter does not make a trend, but to close the valuation gap, production will have to start growing again. Q318 results and outlook will be very important (11/8/18).

Also unless I am missing it they have taken down the Haymaker presentation (and all other old presentations) from their website.

Subject snarfy

**Entry
Member**

10/08/2018 09:54 AM
Plainview

Anything of note from your call with the COO?

**Subject
Entry
Member**

Re: snarfy
10/09/2018 01:51 PM
snarfy

Yes. I liquidated my position. I had a thesis for owning it and the thesis was discredited so I'm out. There is an argument to be made the stock is cheap at the prices I sold it for, but the way these guys have handled their disclosures around the Haymaker deal and came to market with the secondary I think there is a chance they go into the penalty box for a while. Plus, you have the Brigham Minerals IPO coming up that will compete for investor capital. My decision to sell was made easier by the fact that BSM is available as a conduit to recycle much of the proceeds and trading at a lower multiple, growing faster, and insiders own a ton of equity.

With respect to the call I had, keep in mind this was my first direct interaction with management so I was not going to read them the riot act.

- It was interesting they sent the COO to do investor calls, but perhaps not surprising given the CFO's screw ups. The COO used to work on the buy side so maybe they figured better him to face investors than the CFO?
- KRP had a large number of banks on the offering even though it was relatively small because they want to drum up coverage by the bulge brackets
- He claimed that the acquisition pipeline is "very very large" now. What he's noticing is the size of the potential transactions are much larger than what they were seeing a few months ago; anywhere from \$200mm to bigger than Haymaker, although nothing is imminent. Also, many \$5-20mm deals are coming around. Some buyers are interested in taking units as consideration. In sum, the A&D picture seems to support the stated rationale for the secondary
- It turns out VNOM was the buyer for the KRP assets in the Delaware. It's therefore astounding that the CFO would have been popping off about how "frothy" and "outrageous" the multiple was. FANG possibly controls development on that acreage, and would therefore be in a position to influence the cash flows that determine the buyer's multiple for VNOM. In other words, a multiple that may look frothy to KRP may in fact be very reasonable for VNOM. Now the CFO looks sort of silly in my view.
- The discrepancy between the pro forma production of 9,100 boe/d claimed in the Haymaker deal presentation and the 8,350 boe/d reported in the secondary prospectus is NOT due to the difference between 2-stream and 3-stream reporting. The COO asserted that the lower figure of 8,350 boe/d is due to the fact that production checks for Q2 are still trickling in, and they will have a better picture of the production by November when they report Q3. He did not explain it well. Clearly there was a methodology difference. You just can't do that. FAIL.
- He said the secondary was oversubscribed, but he was not able to tell me if KKR participated (I was wondering if KKR's participation was needed to support the offering)
- He claimed they did not do a secondary sooner because their S-3 after the Haymaker deal was not effective until late September
- There was an investor on the deal call that was very confrontational. I thought the CFO handled it very poorly. The COO said they were shocked (shocked!) by the guy's behavior, but in my view that is part and parcel of being publicly traded - you have to be able to parry and keep your cool.
- The COO confirmed the pro forma 2/3 liquids production cut figure they claimed at the time of the deal was on a 20:1 basis and confirmed the 6:1 breakdown as 24% oil, 12% NGLs and 64% gas. They portrayed the acquisition as consistent with a liquids focused strategy. Only now do they come out with the exact product stream more than four months after the fact. Now we have the pieces to calculate the implied production mix for Haymaker and it's 75% gas. FAIL.
- The remaining dropdown inventory is approximately the same size as the assets that were contributed at the formation of KRP. In other words, half the assets were dropped initially and half were held back. He said the assets the remain to be dropped are "unbelievably good". In what way are they unbelievably good? He said they're in a lot of good fields with great operators and a lot of drilling; they include the 2-3 leading resource basins in the country (not identified); very liquids weighted etc. He said any drop down will be priced in a way that is immediately accretive to KRP.

The central reason to own this was because of the C corp conversion catalyst but they shit all over that by doing a dilutive secondary and jumping the gun by talking about doing a drop before the conversion was even finished. And, just because the S-3 became effective does not mean they have to pull the trigger immediately. If the A&D pipeline is as full as they claimed they should have waited to bring the offering when they had a compelling acquisition(s) to announce.

Also, the stock is worth a lot less than I estimated after taking into account the lower production figure (I don't know how I can really give them credit for 9,100 boe/d at this point), the gassier production mix on a 6:1 basis, and the dilutive secondary. At \$70 WTI and \$3 HH I am coming up with DCF/sh of \$1.70, for an implied multiple of >11x. That's probably fair for a low-growth/no-growth small cap. Net net, I estimate that between the Haymaker deal and the secondary investors have actually been diluted in terms of DCF/sh.

I revisited all the Haymaker disclosures with a fine tooth comb after I spoke with the COO and it really pissed me off. In hindsight their disclosures were clearly incomplete and/or misleading. For example, it is unconscionable to alternate between 6:1 and 20:1 production conventions in the deal press release without at least footnoting it. They highlighted the 2/3 pro forma liquids "production" mix on several occasions in the press release, in the call, and in the presentation without footnoting that that figure is on a 20:1 basis, while emphasizing G&A per boe improvement and production boe per share accretion which were on a 6:1 basis. The most charitable interpretation is they cherry pick the convention that makes them look better whenever they feel like it.

They claimed pro forma debt/EBITDA would be <2x on a Q1 run rate basis, but now that we finally have the data to back into pro forma EBITDA for Q1 it's possible to calculate the metric for ourselves and it was actually 2.5x. Perhaps they were making some assumptions about normalized G&A being lower than what was incurred at the time, but you have to break all this stuff down and lay it out so investors can reconcile your math. All this stuff makes it look like they are playing hide the ball.

I also can't get to the 9.9x deal multiple, and I spoke with somebody at another minerals company who bid on the Haymaker assets and he said they did not believe the deal multiple was as low as 9.9x either.

I think the central issue here is the CFO, but in order for the reputational damage to be contained the CEO has to act against his own son. Is that really something I want to handicap? Perhaps KKR and/or Kayne will force the issue, but on the other hand I don't know whether those investors intend to be long-term owners after their lockup ends.

I also found it alarming they took down their old presentations from their website. That suggests to me that somebody has called them out on this stuff and perhaps it will not be long before other investors decide that at the very least they are in no rush to buy this thing.

At the end of the day life is too short to deal with this amateur hour bullshit especially when cheaper and more attractive alternatives are competing for investor capital.

Subject	Re: Re: snarfy
Entry	10/10/2018 09:50 AM
Member	Plainview

Thank you for the detailed notes/thoughts snarfy. Really appreciate it. I cannot say that bailing here is irrational. Your complaints are valid and the way mgmt has handled their messaging to date is embarrassing. That said, I'm sticking with my position. I think the central reason to own the stock is that its the only public royalty company trading at a material discount to a conservatively estimated NAV. On my numbers KRP is meaningfully cheaper than BSM relative to NAV. If that statement is true, then KRP's production should start growing again. If production does not start growing again soon then I will reevaluate the position.

I still believe that management knows how to buy minerals right (it does not take a rocket scientist). Clearly, that skill set did not translate to running a public company. Hopefully they will learn from their [many] mistakes to date.

Also, not to split hairs but I have unhedged run rate DCF/unit at \$1.85/unit at \$70 WTI and \$3 HHUB with no lease bonus revenue (\$4.50 and 25c basis diffs; 37% NGL price; 6.7% production taxes, \$2/boe Marketing, and \$2.6mm/quarter cash G&A).

Subject	Re: Re: Re: snarfy
Entry	10/10/2018 11:51 AM
Member	snarfy

You bet. Fwiw I get almost the exact same DCF/sh as you if I apply the same differentials. I was using \$(5)/bbl and \$(0.75)/mcf for 2019 but who knows.

How do you arrive at the conclusion KRP is meaningfully cheaper than BSM on an NAV basis? It seems hard to assess NAV with much precision for these companies, but at a high level I would think it would be hard to argue KRP's asset base is deeper on a per share basis. If it were also better I would think the production growth would be higher but BSM's production is in fact growing much faster. Layer on top of that the fact that BSM has demonstrated the ability to attract operators to their lands and gain commitments to multi-year activity plans and it's hard for me to see how the KRP machine is more attractive than the BSM machine all else equal. It's not apparent to me that KRP has the same level of skills at luring operators onto their acreage. KRP has also disclosed that a "healthy amount" of their Permian production is actually from the Central Basin Platform, which is hard to get excited about, at least for now. In all sincerity if you see things differently I am ready to re-examine my bias towards BSM.

Subject	Re: Re: Re: Re: snarfy
Entry	10/10/2018 11:52 AM
Member	snarfy

One other thing - BSM has communicated multi-year production guidance. It's hard for me to imagine KRP has that type of visibility but I could be wrong.

Subject	Re: Re: Re: Re: Re: snarfy
Entry	10/10/2018 07:02 PM
Member	Plainview

BSM is a well oiled machine, and they have created real incremental value in their unleased minerals. However at this point I think that the low hanging fruit has probably been picked with respect to attracting operators to virgin unleased minerals and extracting drilling commitments. The past decade has been by far the most fruitful in fifty years in terms of discovering previously unappreciated highly economic oil and gas reserves. At this point, we are at the source rock; there are not many more places to look. The next 10+ years will consist of a lot more "acquire and exploit" (i.e. existing leases) than "lease and drill". That means fewer opportunities for BSM's historical strategies. That's my opinion. BSM would probably dispute that. Counterarguments are welcome.

At this point, I think that mineral companies are more or less collections of minerals. And minerals have two components of value: PDP value and undeveloped inventory value. Dropdowns/acquisitions complicate matters a little but in my opinion are likely neutral at best, especially if you think the stock is undervalued.

BSM's current TEV is ~\$4.4bn. I think their PDP PV10 is ~\$1.4bn which leaves \$3.0bn for undeveloped inventory value. The table below lays out BSM's NRA's in each of their core basins. As I am sure you know BSM normalizes NRAs to an 1/8 royalty rather than to 100% NRI like KRP. Using the same intrinsic value per core NRA (divided by 8 for 1/8 royalty normalization) for each basin that I calculated in my KRP writeup, I need to give 75% credit to BSM's Permian position and 60% for their other core basins to get to BSM's current unit price. To get to KRP's current share price, I need only give credit to 13% of their Permian position, 5% of their Midcon and 8% of their other core basins. I give no credit to either KRP or BSM for undeveloped inventory value outside of their core basins although there is some de minimus option value that I do not want to pay for and that I do not think the market values.

I do think that KRP's acreage deserves greater risking than BSM's given KRP's complete and utter lack of disclosure. While BSM helpfully provides relatively detailed maps of their positions in the core basins, KRP gives us color coded counties conveying little to no information. However, I think that the disparity in implied undeveloped acreage value is too great, and that is what I am leaning on. If I thought the valuations were close to equivalent I would buy BSM all day long over KRP.

All that said, I fully realize that in order to close this NAV gap, KRP's production needs to start consistently growing again. With >70 rigs on their acreage, I am betting that it will. I also think that a better IR effort and greater disclosure will go a long way. But I am not holding my breath on those.

Net Royalty Acres	Total	Risking	Risked	Value/Acre	Value (\$mm)
Permian	62,000	75%	46,500	\$ 21,875	\$ 1,017
Haynesville	387,500	60%	232,500	6,250	1,453
Bakken	107,000	60%	64,200	6,250	401
Eagle Ford	34,000	60%	20,400	5,625	115
Total	590,500	62%	363,600		\$ 2,986

Subject Re: Re: Re: Re: Re: Re: snarfy
Entry 10/11/2018 10:46 AM
Member Platinum

Dont the two companies, KRP and BSM, offer a similar FCF yield? If they have a similar FCF yield, then isn't another explanation that KRP owns worse rock? BSM seems like it comes with better growth visibility, better management, better alignment/governance at a similar price.

Subject FLMN
Entry 10/11/2018 10:58 AM
Member bdad

FLMN also seems relatively well positioned here and it too has traded down recently

Subject Re: Re: Re: Re: Re: Re: Re: snarfy
Entry 10/11/2018 12:02 PM
Member Plainview

My contention is that a mineral company's FCF yield is not necessarily indicative of valuation. TPL is a great example of that. Clearly, the market is giving a lot of credit for inventory value (arguably too much, but there is some real value there)....of course, TPL production / cash flow are also growing at an incredible rate, and KRP's are at least temporarily not growing. If that continues, it is a problem.

KRP does not provide enough information to evaluate their rock. All we really have is production growth. If production growth continues to stall for multiple quarters then we can probably surmise that their assets are overwhelmingly poor. What I have tried to do is figure out how much of their acreage has to be good to have a margin of safety at the current unit price. By my numbers it's a very low % of their acreage. But if production continues to stall and/or decline, then it probably indicates their acreage is indeed that bad, and I will sell.

I agree that BSM offers better growth visibility and better public company management team. I do not agree that BSM offers materially better alignment/governance. If my NAV estimates are anywhere in the ballpark then you are paying a much higher price for the growth visibility and public company management team.

I am betting that KRP's production will start to grow again and with that growth the unit price will appreciate. I also think it is likely that KRP's management team will figure out how to play the public company game which should benefit the unit price as well.

Subject Re: FLMN
Entry 10/11/2018 12:02 PM
Member helopilot

I like FLMN. I wrote it up under the previous ticker (OSPR) back in August.

<https://www.valueinvestorsclub.com/idea/OSPNEY ENERGY ACQ CORP/142642>

Subject More ridiculousness
Entry 11/08/2018 03:26 PM
Member snarfy

KRP reported Q3'18 production of 731,253 boe. With 92 days in the quarter that works out to 7,948 boe/d, yet they also reported that production on a daily basis was 8,546 boe/d. The aggregate and daily production numbers from prior earnings releases match but these do not. IR told me to keep in mind that the Haymaker acquisition didn't close until 11 days after the quarter started. That's good to know but it doesn't explain why the aggregate production figure doesn't convert to the daily production figure they reported. Once again these guys were bitching about their valuation on the call. It's like, look in the mirror guys.

Subject Re: More ridiculousness
Entry 11/08/2018 03:35 PM
Member Plainview

I have to agree with your assessment. I am still waiting to hear back from IR on that exact question. The difference between 7,948boe/d and 8,546boe/d is night and day for evaluating asset performance. They still have not figured out how to communicate their business results clearly and accurately.

Subject Author Exit Recommendation
Entry 12/13/2018 04:38 PM
Member Plainview

The author has recommended exiting the position

Subject Re: Author Exit Recommendation
Entry 12/13/2018 04:42 PM
Member Plainview

From 8-K filed today announcing large raises all around. "The Committee also determined that Robert D. Ravnaas, R. Davis Ravnaas and Matthew S. Daly met and exceeded their respective qualitative performance and other goals for the 2018 fiscal year."

There is lower hanging fruit in energy right now. I do not think management is going to get the picture any time soon.

Subject Re: Re: Author Exit Recommendation
Entry 12/13/2018 06:10 PM
Member snarfy

Those guys are clowns. A friend of mine met with them at the Wells Fargo MLP conference earlier this month. Davis was explaining to him how they determined the most recent dropdown was accretive. It was some sort of convoluted explanation. My friend started taking notes on that but then Davis asked him not to write it down. Unreal.

Subject Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 01:19 PM
Member snarfy

Do you want to know something crazy? That same friend got a call from Davis a couple days ago. He's all, "hey, the stock is at \$14. Yield is 12%. You should think about buying some. Gotta go!" This guy is unreal.

Subject Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 02:18 PM
Member Platinum

Hopefully that is indicative of his ability to raise new equity-- would be nice to have less competition for VNOM, BSM, and FLMN

Subject Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 03:07 PM
Member abcd1234

Snarfy and Plainview, kudos to you on good sales of this one. Against my better judgment I held onto what I owned and have been adding at this price. I agree that the management team is weak (to put it generously) but at what point do you think the stock is cheap enough to offset that? It is a royalty company afterall so it's not like management really does anything with respect to the cash flows of the company.

Subject Re: Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 03:31 PM
Member TallGuy

The risk is a higher G&A burden (enriching father and son) and bad deal making with a heavy emphasis on the latter. That's the variable you need to get comfortable with. With such a poor investor view of management their cost of capital will be higher and increases the chance of a dilutive acquisitions. From my meeting with management it was unclear how the deals they were doing were accretive outside of gaining scale on their G&A.

If there is a royalty company to go activist on its KRP.

Subject Re: Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 03:43 PM
Member snarfy
 abcd1234,

I don't know what the price is but there is zero reason to buy KRP when VNOM and BSM are available for purchase at these levels.

Subject Re: Re: Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 03:45 PM
Member snarfy
 Interesting point TallGuy. Having not thought about it - what could an activist do to create value here?

Subject Re: Re: Re: Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 03:47 PM
Member Platinum
 Force a sale to BSM, VNOM, or FLMN. That would certainly eliminate the G&A burden.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/21/2018 07:19 PM
Member TallGuy
 Force sale would be the optimal outcome. I think BSM would be the most logical buyer.

Second best option would be to remove nepotism through shaking up management. I cant name a single investor who has had a positive experience with the CFO. Additionally I would replace the CEO for not taking action to identify and correct his sons mistakes.

It would also be beneficial to increase transparency of the assets. KRP has started this process in their most recent deck but would be best to show incremental information.

Subject Re: Re: Re: Re: Re: Re: Re: Re: Re: Re: Author Exit Recommendation
Entry 12/22/2018 11:12 AM
Member snarfy

Agreed on BSM being the most logical buyer - these assets are not consistent with VNOM or FLMN's strategy - but I think there is no way BSM would pay a big premium to KRP's current share price even with the G&A savings, especially with BSM's equity being as cheap as it is and having much higher quality assets. I know for a fact BSM did not think Haymaker's assets were not worth what KRP paid.

Perhaps a management change alone would be enough to drive a re-rating, especially if new management had a credible plan to grow the business using KRP's platform.

Subject TallGuy
Entry 01/02/2019 02:57 PM
Member snarfy

Are you the same TallGuy from the Naim forum? Just curious. Saw the same handle there and simply wondered.

Subject Re: TallGuy
Entry 01/02/2019 09:55 PM
Member TallGuy

It's not me, but I bet he gets asked if he played basketball in high school just as frequently.

Subject EnCap acquisition
Entry 02/08/2019 12:49 PM
Member snarfy

A guy who looked at those assets told me KRP paid 50% more than what his team thought they were worth.

I suspect KRP was highly motivated to acquire something big enough to obscure the fact that the Haymaker acquisition was nowhere near as attractive as they portrayed it.

Subject Re: EnCap acquisition
Entry 02/08/2019 02:21 PM
Member snarfy

Now +6% on the day while BSM left on the trash heap. What a joke.

Subject 2019 bonus KPIs
Entry 04/05/2019 05:19 PM
Member snarfy

There are three quantitative metrics, one of which includes increasing barrels of oil production. Not sure why they'd need to focus on growing oil since the assets they acquired from Haymaker were so oily...